

Date of Hearing: August 19, 2021

ASSEMBLY COMMITTEE ON APPROPRIATIONS

Lorena Gonzalez, Chair

SB 531 (Wieckowski) – As Amended July 8, 2021

Policy Committee:	Banking and Finance	Vote:	9 - 0
	Judiciary		9 - 1

Urgency: No State Mandated Local Program: No Reimbursable: No

SUMMARY:

This bill, beginning July 1, 2022, requires a debt collector to provide specified information to a debtor before the debt collector may begin collection of delinquent debt. Specifically, this bill:

- 1) Requires a debt collector to provide the debtor, upon request and within 30 days, a statement including specified information about the delinquent debt, such as the balance and reason for all interest and fees, and a copy of the contract evidencing the debtor's agreement to the debt.
- 2) Requires a debt collector to disclose, in the debt collector's first written communication with the debtor, that the debtor may obtain the above-specified information about the delinquent debt. The disclosure must be made in the language principally used to contact the debtor.

FISCAL EFFECT:

Minor and absorbable costs to the Department of Financial Protection and Innovation (DFPI) to update manuals and licensee examination procedures and respond to new complaints.

COMMENTS:

- 1) **Purpose.** This bill is supported by consumer protection groups and opposed by a rental housing association. According to the author:

SB 531 will bring needed transparency to the debt collection business, an industry where debt is exchanged so fast and often times through multiple hands that consumers are left confused as to whom they really owe money. My bill would require debt collectors, who have delinquent debt assigned to them, to have proof that they have the authority to collect on the debt. Consumers would have the right to request that proof, along with simple but important information such as how much debt is owed, any fees or interests, and the date of the last payment.

- 2) **Debt Collection, Debt Buying and Charged-off Debt.** The Rosenthal Fair Debt Collection Practices Act, enacted in 1977, placed limits on creditors and debt collectors, prohibiting deceptive, dishonest, unfair and unreasonable debt collection practices and governing how debt collectors can interact and communicate with customers. SB 908 (Wieckowski), Chapter 163, Statutes of 2020, established a program within DFPI to license and oversee debt collectors, adding an additional layer of regulatory oversight. SB 908 also applied to debt

buyers, who buy delinquent or charged-off consumer debt and are subject to stronger consumer disclosure provisions under the Fair Debt Buying Practices Act (FDBPA) established by SB 233 (Leno), Chapter 64, Statutes of 2013.

Debt that is “charged off” refers to an accounting practice in which a creditor deems a debt unlikely to be collected and writes the debt off as worthless in exchange for a tax deduction. Charged-off debt remains legally collectable and continues to accrue interest and fees, but is generally sold to a debt buyer (subject to the FDBPA) instead of assigned to a debt collector (subject to the Rosenthal Act). Thus, under existing law, a debt collector collecting assigned delinquent debt, rather than sold debt, are not subject to the FDBPA’s robust consumer disclosure provisions. This bill aligns existing debt buyer disclosure provisions to a debt collector collecting non-charged-off delinquent debt over 90 days past due and prohibits further collection activity if a debt collector does not provide the requested disclosures.

Analysis Prepared by: Irene Ho / APPR. / (916) 319-2081